earnings will not have been encouraging. In the appended table are given a number of companies falling in each group as of the end of 1938 or 1939, at which times the market level for industrial stocks did not appear to be especially high or especially low.

Group *B*. Common Stocks Selling at the End of 1938 or 1939 at Two-Thirds, or Less, of Net Current Asset Value and also at Less than 12 Times Either Past Year's or Average Earnings

Company	Year taken	Price Dec. 31	Earnings for year per share	Average earnings 1934–1938 or 1934–1939 per share	Net current asset value per share	Net tangible asset value per share
Butler Bros.	1939	7	$0.83	$0.27	$12.75	$19.59
Ely & Walker	1939	18	2.30	1.83	41.60	48.51
Gilchrist	1939	4 3/4	0.70*	0.85*	13.85	17.39
Hale Bros. Stores	1939	14	1.81	2.00	22.13	28.14
Intertype	1939	8 3/4	0.55	0.82	19.77	22.35
Lee & Cady	1939	6	0.77	0.73	11.35	12.61
H. D. Lee Mercantile	1938	14	0.87	1.35	25.00	31.56
Manhattan Shirt	1938	11 1/2	0.73	1.06	19.36	23.62
Reliance Mfg.	1939	12	1.69	0.94	18.97	22.21
S. Stroock	1939	9 1/4	1.21	1.39	14.90	26.61

* Years ended following Jan 31.

It is not difficult for the assiduous analyst to find interesting statistical exhibits such as those presented in our table. Much more difficult is the task of determining whether or not the qualitative factors will justify following the quantitative indications—in other words, whether or not the investor may have sufficient confidence in the company's future to consider its shares a real bargain at the apparently subnormal price.

On this question the weight of financial opinion appears inclined to a generally pessimistic conclusion. The investment trusts, with all their facilities for discovering opportunities of this type, have paid little attention to them—partly, it is true, because they are difficult to buy and sell in the large quantities that the trusts prefer, but also because of their conviction that however good the statistical exhibit of a secondary company may be